ERA 12

# The Gilded Age: Industry

*1865 – 1900*

Industrialization · big business · monopoly

**ESSENTIAL QUESTION**

How did new technology and business methods create an industrial giant—and a new class of tycoons?

**KEY TERMS**

Bessemer steel · Standard Oil · vertical & horizontal integration · trusts · robber barons

**ALIGNED TO**

CED Topics 6.5–6.6 · AMSCO Ch. 6.5–6.6

AMERICA BECOMES AN INDUSTRIAL GIANT

# The Second Industrial Revolution

# The Building Blocks of Industry

I

## Steel

The **Bessemer process** made cheap, strong steel for rails and skyscrapers.

II

## Oil

Refined petroleum yielded **kerosene**—and later, fuel.

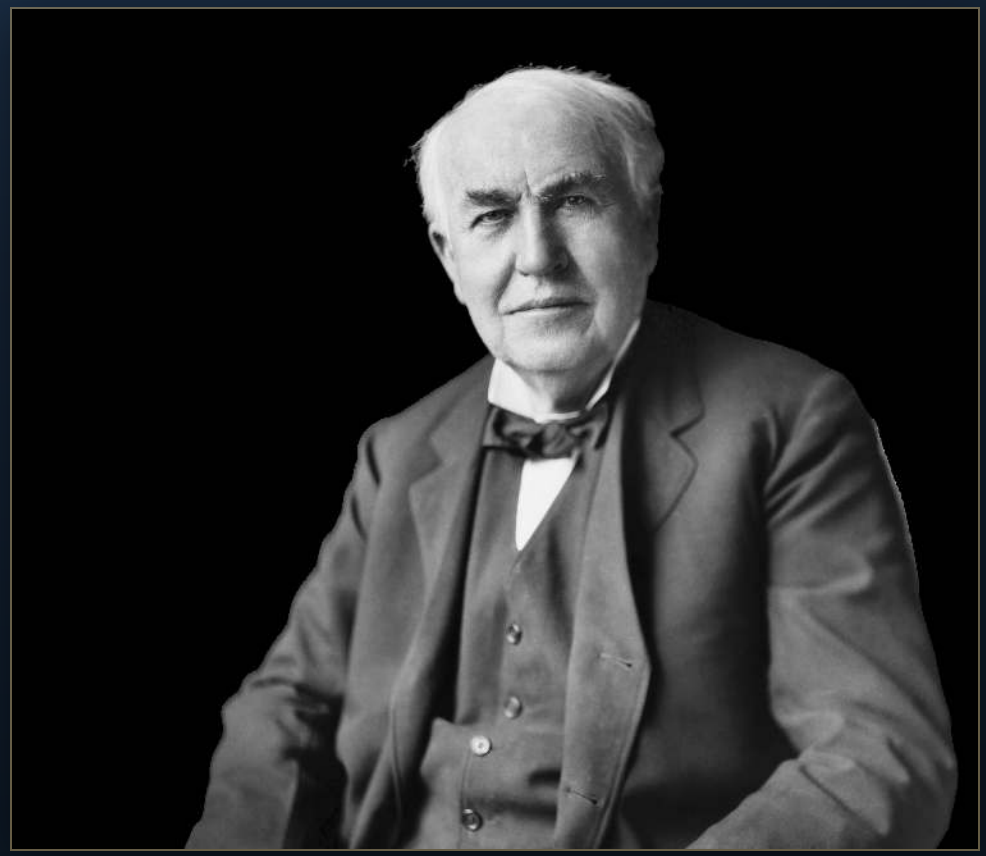
III

## Electricity

Electric power transformed factories, cities, and homes.

# Electricity & Invention

- **Thomas Edison** and **Lewis Latimer** perfected the electric lightbulb.
- Patents exploded—from a few hundred a year to tens of thousands.
- Electric light and power reshaped daily life.



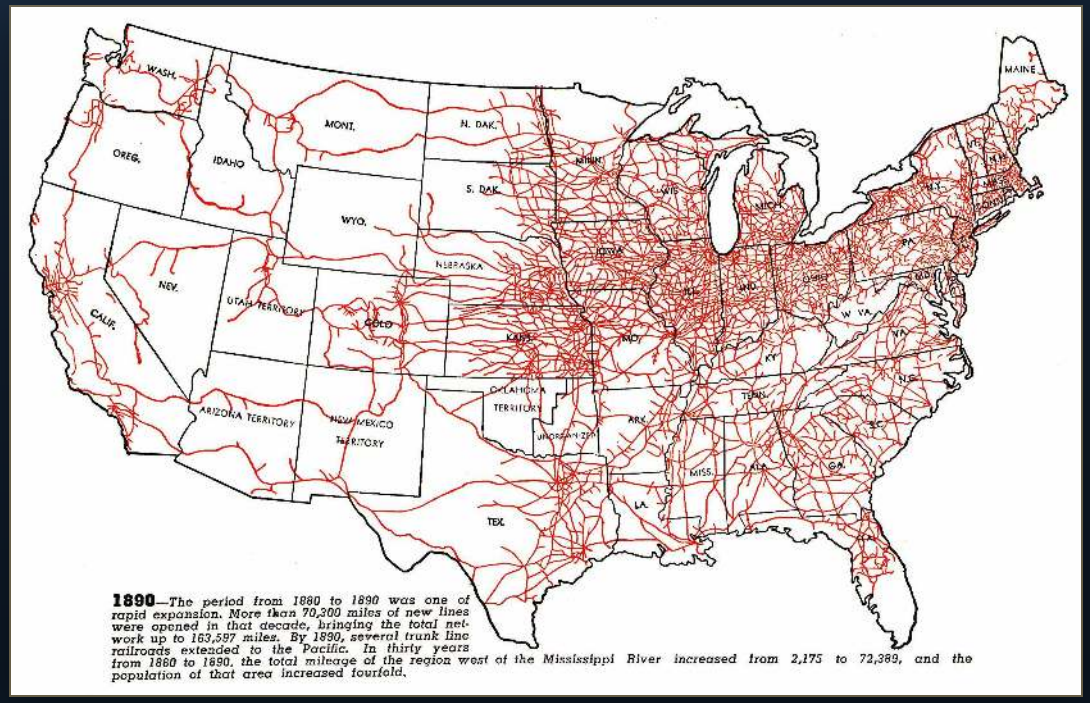
# Wiring the Nation



- **Alexander Graham Bell** patented the **telephone** in 1876.
- Telegraph and **telephone** wires soon crisscrossed the country.
- Information—and business—moved faster than ever.

# The Railroad Age

- Rail mileage grew from 35,000 (1865) to 167,000 (1890).
- **Standard gauge** track knit the regions into one national market.
- Railroads devoured **steel** and coal and employed thousands.

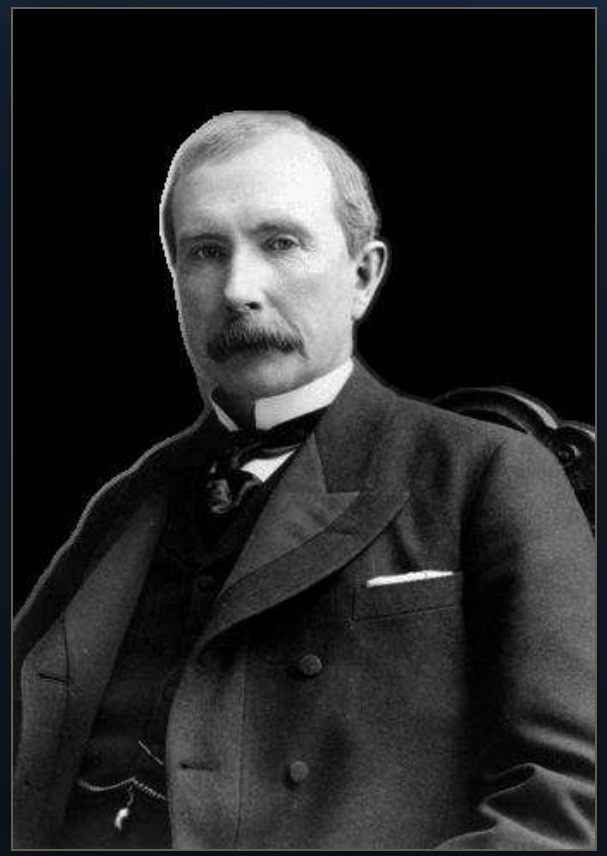



**1890**—The period from 1880 to 1890 was one of rapid expansion. More than 70,300 miles of new lines were opened in that decade, bringing the total network up to 163,597 miles. By 1890, several trunk line railroads extended to the Pacific. In thirty years from 1860 to 1890, the total mileage of the region west of the Mississippi River increased from 2,175 to 72,389, and the population of that area increased fourfold.

SECTION

# The Captains of Industry

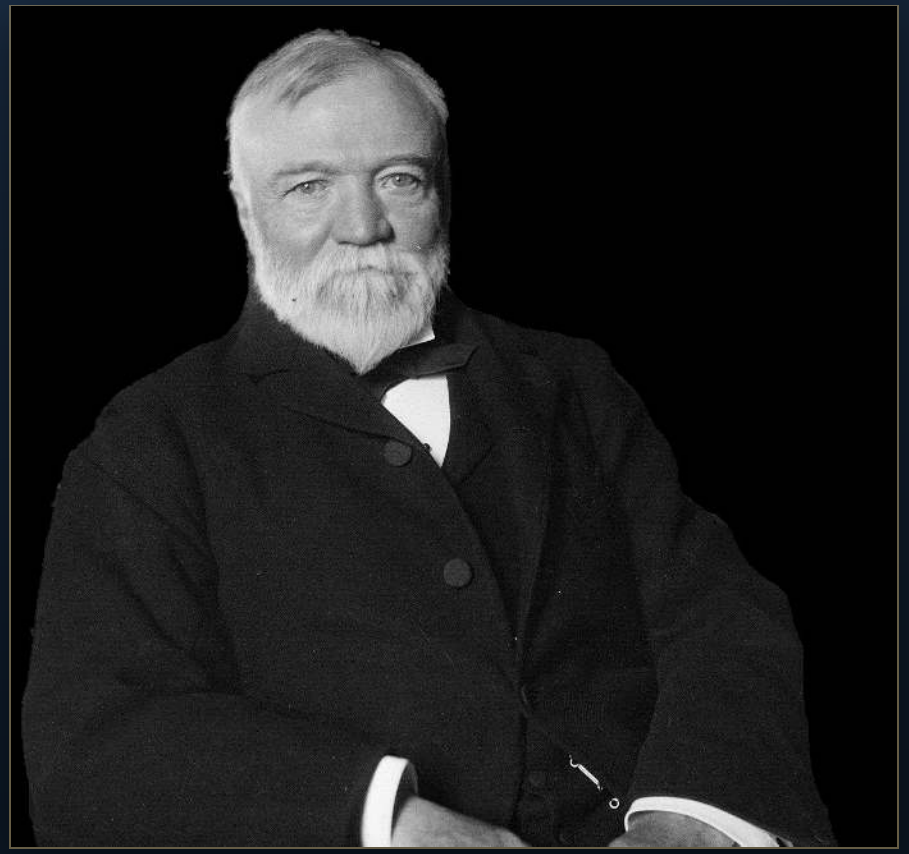
# Rockefeller & Oil



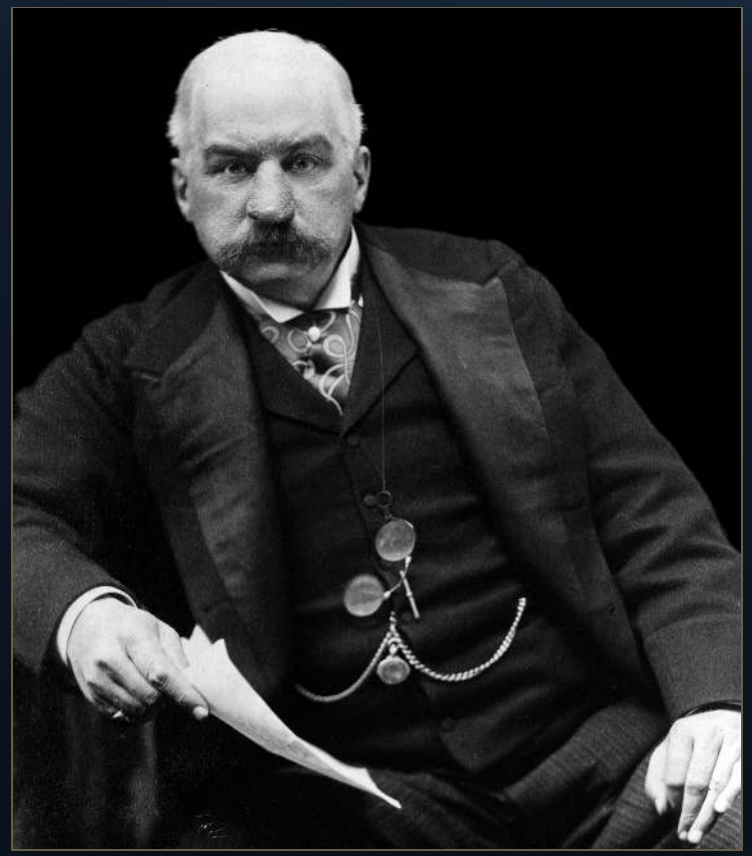
- **John D. Rockefeller** built **Standard Oil** into an empire.
- By 1879 he controlled roughly 90% of American oil refining.
- He crushed rivals through ruthless **horizontal integration**.

# Carnegie & Steel

- **Andrew Carnegie** rose from a $1.20-a-week bobbin boy to **steel** king.
- He used **vertical integration**—owning every step of production.
- His empire became the core of U.S. **Steel**.



# Morgan & Finance



- **J.P. Morgan** was the era's most powerful investment banker.
- He consolidated railroads and industries—and bought out Carnegie.
- In 1901 he created U.S. **Steel**, the first billion-dollar corporation.

SECTION

# Building Empires

# How Monopolies Formed

I

## Vertical Integration

Control every step—from raw materials to the finished product (Carnegie).

II

## Horizontal Integration

Buy up all your competitors in the same industry (Rockefeller).

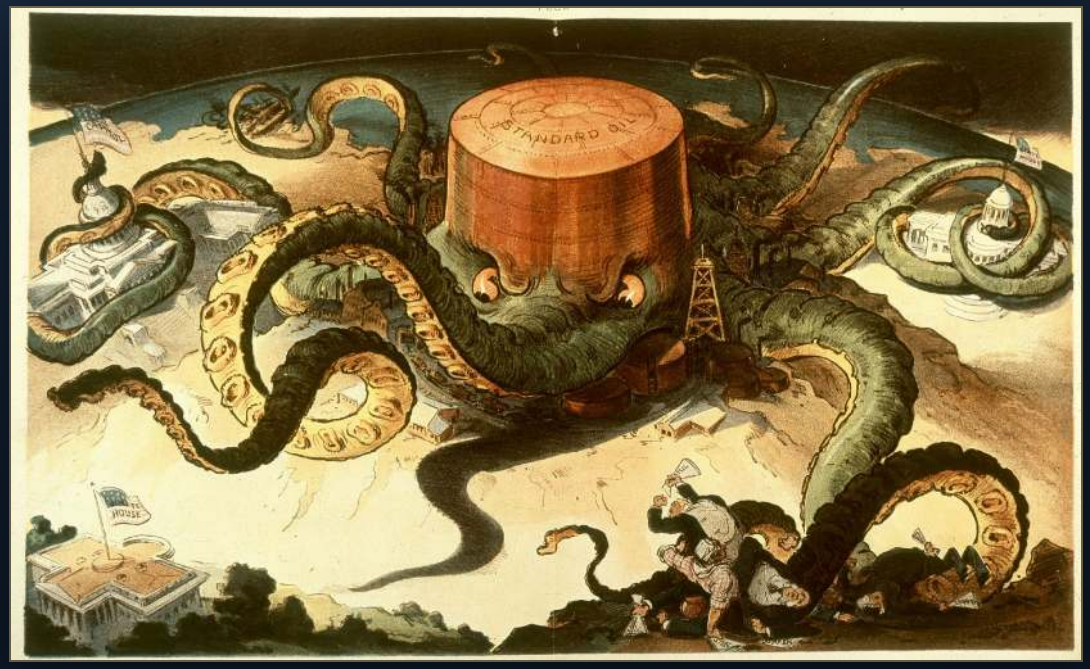
III

## Trusts

Combine many firms under one board to dominate a market.

# The 'Octopus' of Monopoly

- Cartoonists drew **Standard Oil** as an octopus strangling the nation.
- **Trusts** crushed competition and set prices at will.
- Their power sparked demands for government regulation.



# Captains of Industry or Robber Barons?

## Captains of Industry

The defense

- Built the world's most powerful economy.
- Created jobs and cheaper goods.
- Gave fortunes to **philanthropy** (libraries, universities).

## Robber Barons

The critique

- Crushed competition and gouged consumers.
- Exploited workers with low pay and long hours.
- Concentrated dangerous wealth and power.

KEY TAKEAWAYS

# The Gilded Age: Industry

1. New technology—**Bessemer steel**, oil, and electricity—made the U.S. the world's leading industrial power.
2. **Rockefeller, Carnegie, and Morgan** built vast empires through **vertical and horizontal integration** and trusts.
3. Their **monopolies** concentrated wealth and power—earning them praise as '**captains of industry**' and scorn as '**robber barons**.'

DISCUSS & APPLY

# The Gilded Age: Industry

AP HISTORICAL REASONING PRACTICE

**CAUSATION**

Explain how new technologies (**steel, oil, electricity**) drove America's industrial explosion.

**COMPARISON**

Compare **vertical** and **horizontal integration** as strategies for building monopolies.

**ARGUMENTATION**

Were the industrial titans **'captains of industry' or 'robber barons'**? Make and defend a claim.

Up next — **Lesson 29: Labor & Immigration** (the workers who built the Gilded Age)